SECTION 1

THE CANADIAN INVESTMENT MARKETPLACE

1. The Canadian Securities Industry
2. The Capital Market
3. The Canadian Regulatory Environment

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The Canadian Securities Industry

1

CHAPTER OVERVIEW

In this chapter, we describe the interrelationships between the various participants in the Canadian securities industry. In particular, we discuss the important role that investment dealers and other financial intermediaries play in channelling funds between lenders and borrowers.

LEARNING OBJECTIVES	CONTENT AREAS
1 | Describe the relationships between the major participants in the Canadian securities industry.	**Overview of the Canadian Securities Industry**
2 | Distinguish between the three categories of investment dealers including how they are organized. 3 | Explain the difference between principal and agency transactions.	**The Investment Dealer's Role as a Financial Intermediary**
4 | Distinguish between the roles of the various financial institutions.	**Financial Intermediaries Other Than Investment Dealers**
5 | Discuss the trends affecting the financial services industry in Canada and globally.	**Financial Market Trends**

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KEY TERMS

Key terms are defined in the Glossary and appear in **bold** text in the chapter.

agent

broker

Canadian Investment Regulatory Organization

capital markets

CDS Clearing and Depository Services Inc.

clearing

closed-end fund

consumer finance company

discount broker

financial intermediary

fintech

firewall

institutional firm

integrated firm

investment dealer

investment fund

Investment Industry Association of Canada

mutual fund

open-end fund

pension fund

primary market distribution

principal

retail firm

robo-advisor

sales finance company

savings bank

schedule I bank

schedule II bank

schedule III bank

self-directed broker

settlement

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INTRODUCTION

Consider the following scenarios:

- A couple needs to borrow money to buy a home.
- An entrepreneur needs to raise funds to develop a new product.
- A mother wants to set up a regular program to save for her children's education.

Both the couple and the entrepreneur, as borrowers, are *users of capital*, whereas the mother, as an investor, is a *supplier of capital*. What they all have in common is the need for a financial intermediary to help them meet their goals.

A financial intermediary is an institution such as a bank that borrows money from suppliers of capital and lends it to users of capital. In other words, investors lend funds to the intermediary, and the intermediary, in turn, lends those funds to borrowers in the form of loans, mortgages, and other products. An intermediary can also play a more direct role. The intermediary can raise capital by bringing a new issue of securities to the financial markets.

For example, a company wishing to expand its business might generate the necessary investment capital by issuing securities to the public in the form of stocks. An investment dealer helps the company issue the stocks and sell them to investors. The investors who buy the stocks transfer their money to the company through the intermediary. In return, they receive the stocks, which represent a share of ownership of the company.

The company can use the proceeds from the stock transaction and reinvest them in the firm, which spurs further economic development. In addition, the intermediary earns a profit on the transaction. If the firm does well following the expansion, and the price of its stock rises in value, investors will be able to sell them in the marketplace to earn a profit.

By these means, financial intermediaries help to establish efficient methods of channelling funds between lenders and borrowers.

DIVE DEEPER

To fully understand the concepts presented in this textbook, you should stay informed about the financial markets and the industry in general. The lessons will be easier to grasp if you relate them to the activities that unfold each day in the financial markets. Countless sources of information about the financial markets are readily available online, as well as in newspapers, books, and magazines. Ultimately, by staying informed, you will more easily reach your goal of becoming a competent and trusted participant in the securities industry.

OVERVIEW OF THE CANADIAN SECURITIES INDUSTRY

1 | Describe the relationships between the major participants in the Canadian securities industry.

Canada has one of the most sophisticated and efficient **capital markets** in the world. Market activity is measured by the variety and size of new issues that are brought to the market, as well as the depth and liquidity of trading of those issues. Canada's securities industry is highly competitive, and it is becoming more competitive each year. Market participants must have extensive, specialized, and up-to-date knowledge about securities issuers and investors in a securities market that is constantly changing. An entrepreneurial spirit of innovation and calculated risk-taking are among its hallmarks. Change and volatility are frequently the norm.

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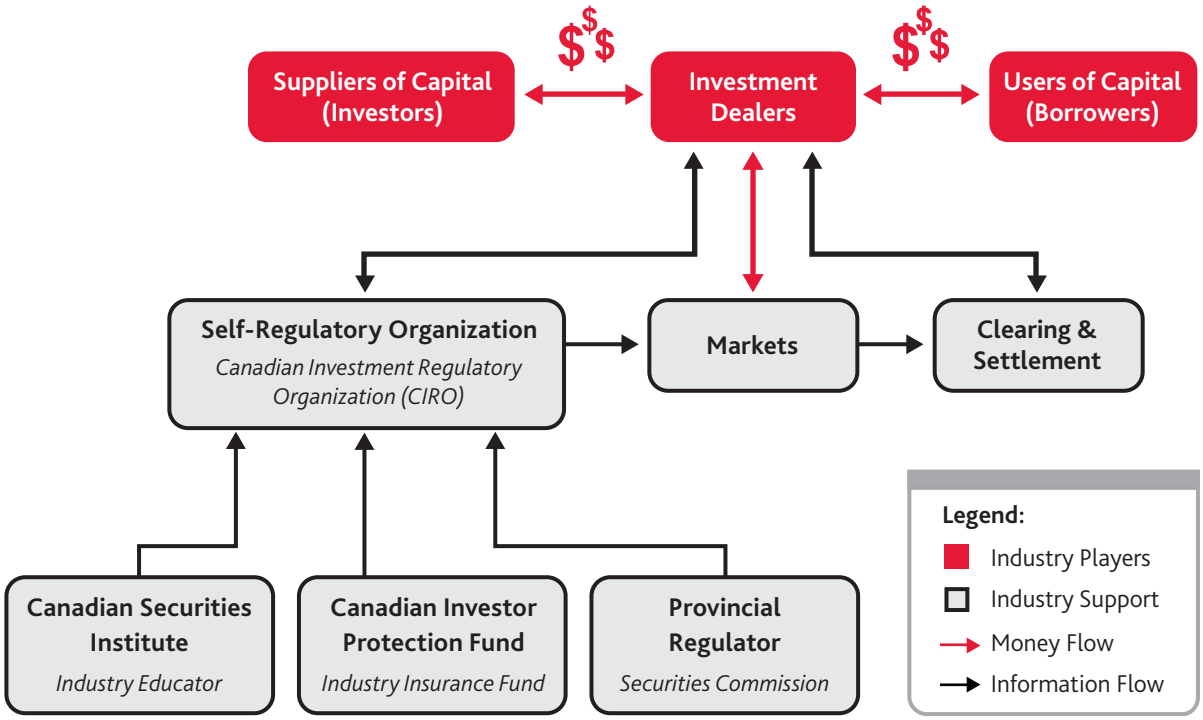
The Canadian securities industry is mainly regulated by the provinces. They have the power to create and enforce their own laws and regulations through securities commissions (called securities administrators in some provinces). Securities commissions delegate some of their powers to the **Canadian Investment Regulatory Organization** (CIRO). CIRO is the national self-regulatory organization (SRO) that oversees all investment dealers, mutual fund dealers, and trading activity on Canada's debt, equity, and mutual fund marketplaces. CIRO establishes and enforces industry regulations that protect investors and maintain fair, equitable, and ethical practices.

As of January 1, 2023, the former Investment Industry Regulatory Organization of Canada (IIROC) and the Mutual Fund Dealers Association of Canada (MFDA) were amalgamated to form the Canadian Investment Regulatory Organization (CIRO).

The major participants in the industry and their interrelationships are illustrated in Figure 1.1.

Figure 1.1 | Structure of the Canadian Securities Industry



The various participants interact with each other as follows:

- Suppliers and users of capital trade financial instruments through financial markets such as stock exchanges and money markets.
- **Investment dealers** (also called **brokers**) act as intermediaries by matching investors with the users of capital. Each side of a transaction has its own dealer who matches the trades through the markets.
- Trades and other transactions are cleared and settled through organizations such as CDS Clearing and Depository Services Inc. and banks. **Clearing** is the process of confirming and matching security trade details; **settlement** is the irrevocable moment when cash and securities are exchanged.
- The SRO sets and enforces rules that govern market activity and monitor the markets to ensure fairness and transparency.

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- The Canadian Investor Protection Fund provides insurance against investment dealer and mutual fund dealer insolvency.
- Provincial regulators oversee the markets and the SRO.
- The Canadian Securities Institute and similar organizations provide education for industry participants.

DID YOU KNOW?

Advocacy and Resources

The **Investment Industry Association of Canada** (IIAC) is the national association that represents investment firms across Canada. The association represents investment and mutual fund dealers, exempt market dealers, portfolio managers, and investment fund managers. For more information about the IIAC, visit their website at https://iiac-accvm.ca/.

THE CANADIAN SECURITIES INDUSTRY OVERVIEW

How well do you know the structure of the Canadian securities industry and the interrelationships between its major participants? *Complete the online learning activity to assess your knowledge.*

Note: To access the online components of your course, log in to your Student Profile at www.csi.ca and, once logged in, click on the 'Access Online Courses' button.

THE INVESTMENT DEALER'S ROLE AS A FINANCIAL INTERMEDIARY

2 | Distinguish among the three categories of investment dealers including how they are organized.

3 | Explain the difference between principal and agency transactions.

The term **financial intermediary** describes any organization that facilitates the trading or movement of financial instruments that transfer capital between suppliers and users of capital. Intermediaries are a key component of the financial system. They include investment dealers, banks, credit unions, trust companies, and insurance companies. Let's look at the role of the investment dealer as a financial intermediary.

Investment dealers act on their clients' behalf as **agents** in the transfer of financial instruments between different investors. They sometimes also act as **principals**, rather than agents. In both cases, they play a significant role in the securities industry's two main functions:

1. They help to transfer capital from suppliers to users through the underwriting and distribution of new securities. This activity takes place in the primary market in the form of a **primary market distribution** (or primary offering). When a private company goes public and issues stocks in the primary market for the very first time, the sale is known as an initial public offering.
2. They maintain secondary markets in which previously issued or outstanding securities can be traded. For example, buying and selling stocks through the Toronto Stock Exchange.

TYPES OF INVESTMENT DEALERS

The following three categories of investment dealers make up the Canadian securities industry:

- **Retail firms** include full-service investment dealers and **self-directed brokers** (also known as **discount brokers**). Full-service retail firms offer a wide variety of products and services for the retail investor. They also provide various levels of advice, depending on the financial and wealth management concerns of their investor

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clients. Self-directed brokers, on the other hand, are considered the do-it-yourself approach to investing. They execute trades for clients at reduced rates, but they do not provide investment advice.

- **Institutional firms** are investment dealers that serve exclusively institutional clients, organizations that trade large volumes of securities. Institutional clients include **pension funds** and mutual funds and may be domestic or foreign institutional firms. In Canada, foreign firms account for about one-third of all institutional clients. Foreign firms include affiliates of many of the major U.S. and European securities dealers.
- **Integrated firms** offer products and services across the industry and participate fully in both the retail and institutional markets. Most integrated firms underwrite all types of federal, provincial, and municipal debt, as well as corporate debt and equity issues. They are active in secondary markets, including the money market, as well as on all Canadian stock exchanges and some foreign exchanges.

Many smaller retail or institutional investment dealers, known as *investment boutiques*, specialize in particular market segments. For example, an investment boutique might specialize in stock trading, bond trading, or trading strictly in unlisted stocks.

ORGANIZATION WITHIN FIRMS

The operational structure of investment dealers varies widely in the industry. A typical configuration divides the firm into different departments, with each department focusing on a specific task. A larger, integrated firm, for example, might be organized into front, middle, and back offices, with senior management overseeing all departments. The roles of the various departments are described below.

SENIOR MANAGEMENT

Senior management usually includes a chairperson, a president, an executive vice-president, directors, and departmental vice-presidents, some of whom are also directors. Some firms may have directors from outside the securities industry. Most senior officers work at head office, but some may be in charge of regional branch offices in Canada or abroad.

FRONT, MIDDLE, AND BACK OFFICES

The three-level organizational structure of most investment dealers allows them to manage client portfolios effectively and process trades efficiently, in compliance with regulatory requirements. The functions and duties of each department are described in Table 1.1.

Table 1.1 | Departmental Functions at an Investment Dealer

	Role	Functions
Front Office	Performs all staff functions pertaining directly to portfolio management activities	• Portfolio management • Trading • Sales • Marketing
Middle Office	Performs functions critical to the efficient operation of the firm	• Compliance • Accounting • Audits • Legal
Back Office	Settles the firm's security transactions	• Trade settlement

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The success of an investment dealer rests largely on profits generated by its sales department, which is usually the largest unit in the firm's front office. In an integrated firm, the sales department is typically separated into institutional and retail sales.

The retail sales force serves individual investors and smaller business accounts. It usually comprises the largest single group of a firm's employees. Retail investment advisors normally perform a wide range of activities to meet the complete spectrum of the investors' types and needs.

THE PRINCIPAL AND AGENCY FUNCTIONS OF AN INVESTMENT DEALER

Investment dealers facilitate the trading of securities and the transfer of capital between suppliers and users. They sometimes act as principals; at other times, they act as agents for their clients.

PRINCIPAL TRANSACTIONS

When they act as principals, investment dealers may own the securities as part of their inventory, at some stage of the buying and selling transaction with investors. The difference between the buying price and the selling price of the securities is their gross profit or loss.

Another principal transaction is underwriting. In the securities business, underwriting refers to purchasing from a government body or a company a new issue of securities, on a given date at a specified price. When investment dealers act as principals by underwriting, they use their own capital to buy an issue to then sell it at a profit in the primary market.

After a primary distribution is completed, investment dealers also act as principals in secondary markets by maintaining an inventory of already issued, outstanding securities. In these transactions, the dealers buy securities in the open market, hold them in inventory for varying periods of time, and subsequently sell them.

AGENCY TRANSACTIONS

When investment dealers act as agents on behalf of buyers or sellers, they do not own title to the securities that they deal with, at any time during the transactions. Their profit is the agent's commission they charge for each transaction.

In these transactions, the principals are the clients who buy and sell securities, and who own the securities. The agent acting for the seller and the agent acting for the buyer both respectively charge their clients a commission for executing the trade.

The principal and agent roles in securities transactions are illustrated in Figure 1.2.

Figure 1.2 | Principal Versus Agent Transactions

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DID YOU KNOW?

An agent acting on behalf of a client is often called a broker, and the broker's role is generally thought of as that of an agent. However, the term *broker* is commonly used to describe an investment dealer acting in any capacity.

Generally, for most secondary trading of debt securities, the investment dealer acts as principal, although occasionally some agency trades take place. With new money market issues, for example, a dealer may either sell the securities as an agent or take them into inventory as principal for a later resale.

SERVICES PROVIDED BY INVESTMENT DEALERS

By participating in the secondary market and maintaining an inventory of outstanding securities, investment dealers provide several useful services:

- They provide informed advice about the terms and features for new issues in the primary market, based on their knowledge of current conditions in the secondary markets.
- They add liquidity to the market with relative ease by making transactions from their inventory, rather than waiting for simultaneous matching buy-sell orders from other investors.
- They sometimes act as market makers and carry out market-making duties by taking positions in assigned listed stocks to enhance market liquidity and smooth out undue price distortions.
- They sometimes buy listed stocks as principals, thus accumulating large blocks of shares, becoming more competitive in serving their larger institutional clients.
- The liquidity they add to the secondary market enhances the primary market by assuring that buyers of new securities will be able to sell their holdings at reasonable prices.

Investment dealers also trade from their own accounts to make a profit.

THE CLEARING SYSTEM

During a trading day, exchange members act as both buyers and sellers of many listed stocks. Rather than each member making a separate settlement with another member on each trade during the course of a trading day, a designated central clearing system handles the daily settlement process between members.

In Canada, securities are cleared through **CDS Clearing and Depository Services Inc**. Although CDS is not considered a financial intermediary, it is a valued partner to dealers that operate in the securities market, providing reliable clearing services. CDS operates CDSX, the facility for the clearing and settlement of trades in equity and debt securities in Canada and for various cross-border transactions. Marketplaces such as the Toronto Stock Exchange (TSX), the TSX Venture Exchange, and alternative trading systems report trades to CDSX. Over-the-counter trades are also reported to CDS by participants in the system. Participants with access to the clearing and settlement system primarily include banks, investment dealers, and trust companies.

The central clearing system uses a process called *netting* to establish and confirm a credit or debit position balance, in the form of cash or security, for each dealer member. The netting process compiles each firm's clearing settlement sheets and informs each member of the securities or funds it must deliver to balance its account. In this way, the number of securities and the amount of cash that must change hands among the various members each day is substantially reduced.

THE KEY ROLES OF AN INVESTMENT DEALER

What is the difference between an investment dealer's role as a principal and its role as an agent? *Complete the online learning activity to assess your knowledge.*

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FINANCIAL INTERMEDIARIES OTHER THAN INVESTMENT DEALERS

4 | Distinguish between the roles of the various financial institutions.

So far, you have learned about the role that investment dealers play as financial intermediaries. We now discuss other financial intermediaries, including chartered banks, credit unions and caisses populaires, trust companies, insurance companies, and other types of firms that play an intermediary role in the Canadian financial services industry.

CHARTERED BANKS

In Canada, the primary function of the chartered banks is to accept and safeguard deposits from individuals and businesses, mainly in the form of deposits, and to then lend or transfer those funds to users, in the form of mortgages, car loans, business loans, and other lending instruments.

All chartered banks in Canada operate under the *Bank Act* and must function within its regulatory framework. The *Bank Act* is the federal legislation that sets out operating rules and restrictions for banks and is updated regularly, usually through five-year revision cycles.

Under the *Bank Act*, banks are designated as Schedule I, Schedule II, or Schedule III. Each designation has unique rules and regulations surrounding the banks' activities. Most Canadian-owned banks are designated as Schedule I banks, whereas foreign-owned banks are either Schedule II or Schedule III banks.

SCHEDULE I CHARTERED BANKS

Schedule I banks are banks that are not a subsidiary of a foreign bank and are considered *domestic* banks even if they have foreign shareholders. There are currently more than 30 domestic Schedule I banks in operation in Canada. Six Canadian banks stand out, in terms of asset size, above all other Canadian-owned banks, as well as most other non-bank financial institutions.

DID YOU KNOW?

Canada's Big Six Banks:

- Bank of Montreal (BMO)
- Canadian Imperial Bank of Commerce (CIBC)
- National Bank of Canada
- Royal Bank of Canada (RBC)
- Scotiabank
- Toronto-Dominion Bank (TD Bank Group)

The six major banks have achieved their dominant asset sizes by establishing a network of thousands of retail branches and automated teller machines throughout Canada. These outlets attract and centralize most of the savings of Canadians. Schedule I banks have also expanded their international operations by acquiring or investing in foreign international financial institutions.

Currently, voting shares of large Schedule I banks must be widely held, with the control of any single shareholder or group of shareholders restricted to no more than 20%. In contrast, a single shareholder (individual or company) can own up to 65% of the voting shares of a medium-sized bank, which has shareholder equity of $2 billion or more but less than $12 billion. However, the remaining 35% of the voting shares must be publicly traded. A small bank, which has shareholder equity of less than $2 billion, can be fully owned by one person or organization.

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Canadian banks offer a wide variety of consumer and commercial banking products and services, including mortgages, loans, accounts, and investments. Savings deposits are eligible for deposit insurance, which is provided by the Canada Deposit Insurance Corporation (CDIC). Banks also offer financial planning, cash management, and wealth management services—some directly and some through subsidiaries.

Within the banking groups, subsidiaries also handle services such as investment dealer activities, self-directed investing, and the sale of insurance products. Current legislation allows banks to take part in diverse sectors of the financial services industry. However, the *Bank Act* sets controls on these activities, particularly with regard to the sharing of customer information. The barriers that inhibit information sharing across a bank's various business units are commonly known as **firewalls**.

EXAMPLE

A bank offers chequing accounts and mortgages through its local branch. A customer visits the branch to ask about opening a self-directed investment account. The customer is then directed to the bank's investment dealer subsidiary and receives all further related correspondence from that subsidiary. However, the bank branch has no access to any information about the customer's brokerage account or trades. Likewise, the investment dealer subsidiary has no access to the customer's bank account or loan balances. In this way, the operations of different businesses within the same banking group are kept separate.

One major source of income for banks is the activity of lending funds to individuals or companies at an interest rate that is higher than the interest rate that the banks pay out on deposits and other borrowings. The spread between the two sets of interest rates covers the banks' operating costs, including rent, salaries, administration, and appropriations for loan losses. The spread also provides a margin of profit for the bank.

SCHEDULE II AND SCHEDULE III BANKS

Schedule II banks are incorporated and operate in Canada as federally-regulated foreign bank subsidiaries. The deposits that these banks accept may be eligible for deposit insurance provided by the CDIC. The banks may also engage in all types of business permitted to a Schedule I bank.

Schedule II banks derive most of their revenue from retail banking and electronic financial services. Examples of Schedule II banks in Canada include the AMEX Bank of Canada, Citibank Canada, and UBS Bank (Canada).

Schedule III banks are federally-regulated foreign bank branches of foreign institutions that have been authorized under the *Bank Act* to do banking business in Canada. Schedule III banks tend to focus on corporate and institutional finance and investment banking. Examples of Schedule III banks in Canada include Barclays Bank and Comerica Bank.

The government allows foreign banks to operate in Canada, which in turn helps Canadian-owned Schedule I banks conduct operations abroad. Foreign-owned banks in Canada also provide a conduit for investment of foreign capital in Canada, while also providing an alternative source of borrowed funds for Canadian corporate borrowers.

CREDIT UNIONS AND CAISSES POPULAIRES

Credit unions and caisses populaires offer businesses and consumers a wide variety of banking services. They provide deposit-taking services, lending, mortgages, mutual funds, insurance, investment dealer services, and debit and credit cards. Credit unions often cater to member-savers from common interest groups, such as individuals who live in the same neighbourhood, share similar ethnic backgrounds, or belong to the same business or social group.

The federal legislation governing credit unions is the *Cooperative Credit Associations Act* (CCAA). This act generally limits the activities of credit unions. They can provide financial services to their members, entities in which they have a substantial investment, and certain types of cooperative institutions. They can also provide administrative, educational, and other services to cooperative credit societies.

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The CCAA requires associations to adhere to investment rules based on a "prudent portfolio approach". It prohibits associations from acquiring substantial investments in entities, other than a list of authorized financial and quasi-financial entities. It also sets out a number of limits designed to restrict the exposure of associations to real property and equity securities.

TRUST AND LOAN COMPANIES

Federally and provincially incorporated trust companies are the only corporations in Canada authorized to engage in a trust business. Trust companies act as a trustee in charge of corporate and individual assets such as property, stocks, and bonds. They also offer a broad range of financial services that overlap services provided by the chartered banks. For example, trust companies accept savings, issue term deposits, make personal and mortgage loans, and sell registered retirement savings plans and other tax-deferred plans. In addition, they provide estate planning and asset management.

INSURANCE COMPANIES

The insurance industry has two main lines of business. The first line of business is life insurance, while the second line of business is known as property and casualty insurance.

Life insurance includes the following related products:

- Health and disability insurance
- Term and whole life insurance
- Pension plans
- Registered retirement savings plans
- Annuities

Because life insurance companies act as trustees for the funds entrusted to them by policyholders, they must exercise extreme caution in selecting their investments so that they can be sure to meet future contractual obligations.

Property and casualty insurance encompasses protection against loss of the following items:

- Home
- Auto
- Commercial business

According to the Insurance Bureau of Canada, the largest aggregate premiums in the property and casualty line of business are generated by automobile insurance, followed by property insurance and liability insurance.

Underwriting is the most important aspect of the insurance business in Canada. Insurance underwriting is the business of evaluating the risk and associated contractual responsibility that the insurance company is willing to accept in exchange for its clients' insurance premiums.

The other significant aspect of the insurance business is reinsurance. Reinsurance refers to the practice of exchanging risk between insurance companies to facilitate better risk management.

DID YOU KNOW?

The key federal legislation governing insurance companies is the *Insurance Companies Act*. This legislation grants companies enhanced powers to make consumer and corporate loans, but it also contains restrictions on activities such as in-house trust services and deposit-taking. Furthermore, it allows only life insurance companies to offer annuities and segregated funds.

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Some Canadian Schedule I banks fully own insurance companies. However, although these large domestic banks have established their own insurance subsidiaries, the *Bank Act* forbids them from selling insurance through their branch networks, with the exception of insurance related to loans and mortgages.

OTHER FINANCIAL INTERMEDIARIES

Several other financial intermediaries play an important role in the Canadian financial services industry. These businesses are categorized below according to the types of products and services they offer:

- **Investment funds** are companies or trusts that sell shares or units to the public and invest the proceeds in a diverse securities portfolio. **Closed-end funds** typically issue shares only at start-up or at other infrequent periods, whereas **open-end funds** (commonly called **mutual funds**) continually issue shares to investors and redeem these shares on demand. Of the two types of funds, open-end funds are by far the larger, accounting for approximately 95% of aggregate funds invested.
- ATB Financial (originally established as the Alberta Treasury Branches), known as **savings banks**, was formed in 1938 when chartered banks pulled out their branches from many smaller towns. The ATB became a provincial crown corporation in 1997 and was renamed ATB Financial in 2002. These banks provide a full range of financial services to Albertans.
- **Consumer finance companies** make direct cash loans to consumers, who are usually unable to secure a loan from a bank. Consumer finance companies typically charge higher rates of interest than banks.
- **Sales finance companies** purchase instalment sales contracts from retailers and dealers at a discount, when items such as new cars, appliances, or home improvements are bought on instalment plans by consumers.
- Pension plans have accounted for remarkable growth in the institutionalization of savings during the past 60 years.

OTHER FINANCIAL INTERMEDIARIES

Apart from investment dealers, who are the intermediaries, and what role do they play in the capital markets? *Complete the online learning activity to assess your knowledge*.

FINANCIAL MARKET TRENDS

5 | Discuss the trends affecting the financial services industry in Canada and globally.

Various recent trends have made an impact in Canada and around the world. Some of the more important trends are described below.

FINANCIAL TECHNOLOGY

Financial technology companies, known collectively as the **fintech** industry, take advantage of computer technology to support or enable a variety of banking and financial products and services, including online loans, electronic wallets, and automated financial planning software. The fintech industry is challenging the role of traditional financial services institutions in Canada and around the world.

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ROBO-ADVISORS

In recent years, a new online investment service has emerged that provides clients with advice, in contrast to the execution-only model of self-directed brokerage. Popularly known as **robo-advisors**, these firms began to appear in the United States after the 2008 financial crisis but did not gain traction until 2012. By 2025, they had amassed more than US$1.5 trillion in assets under management. In Canada, online investment advice platforms began to proliferate in 2014, with multiple service providers registered in several provinces by mid-2025.

Many variations of robo-advisor services exist in the United States and Canada, but most share several of the following attributes:

- They provide clients with goal-based online investment management.
- Portfolios are created using algorithms based on modern portfolio theory and online client questionnaires.
- A telephone call with an advisor verifies that the computer-generated portfolio is suitable for the client.
- Advisor support is offered to varying degrees, typically online or by phone.
- Portfolios are built primarily with exchange-traded funds.
- Portfolios are regularly rebalanced.
- Financial planning may be offered in varying degrees.
- Service may be provided to the end client as well as to intermediaries such as advisors and employers.
- Competitive positioning is based on the client experience, which typically encompasses the following services:
  - Ease of online navigation
  - Speed of account opening and transfers
  - Integration of service delivery across devices
  - Transparency of performance and fees
- Portfolio management is optimized with tools such as tax-efficient rebalancing across account types.

SOCIAL AND ECONOMIC SHIFTS

Lifestyle and social trends continuously affect the financial industry, especially trends related to the following key factors:

- Demographics
- Defined benefit and defined contribution pension plans
- Savings rates
- Debt levels

DEMOGRAPHICS

Demographic shifts are reshaping Canada's economy and will continue to do so. Baby boomers comprise roughly 9.5 million Canadians born between 1946 and 1965. The number of baby boomers entering retirement will continue to rise over the next twenty years, and their demand for products that offer interest income and principal replacement will become more prominent. Advisors are expected to adjust their service offering to reflect the needs of their client base, which is increasingly made up of retired Canadians.

Much has been written on the aging population and its effect on virtually all aspects of life, including education, product delivery, and health care. Ultimately, as the Canadian population ages, we are becoming a society heavily influenced by the needs and attitudes of consumers over age 50.

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At the other end of the spectrum, millennials (those born in the 1980s and the first half of the 1990s) represent 27% of the total population, making it the largest generation of Canadians. There are significant economic differences between millennials and baby boomers. According to Statistics Canada, millennials have higher mortgage debt, higher student loan debt, and a lower net worth than baby boomers at that age. Millennials, though, still have the time and resources to catch up by employing sound savings and investment strategies.

DEFINED BENEFIT AND DEFINED CONTRIBUTION PENSION PLANS

A defined benefit (DB) pension plan provides employees with a pre-determined specified payment amount of funds when they retire, whereas a defined contribution (DC) pension plan allows employees and employers to contribute to a plan that invests funds over time to save for retirement, but the final benefit amount at retirement will depend on how the contributions are invested over the plan's life.

A DB pension plan's risks, such as longevity, market volatility, and low interest rates, are borne entirely by the employer because they have to cover a pension shortfall, which is classified as a liability on financial statements. As a result, employers are gradually shifting to DC pension plans to pass on the risks to the employees. Hybrid pension plans—a combination of DB and DC plans—are also gaining traction in Canada.

SAVINGS RATES

Generally, Canadians have several common sources of retirement income:

- Employer pension plan
- Canada Pension Plan, Quebec Pension Plan, and Old Age Security
- Income from personal savings, such as registered retirement savings plans, tax-free savings accounts, and non-registered accounts
- The liquidation of fixed assets or downsizing of a principal residence
- The sale of a business or the creation of a succession plan where the business passes on to family members but still pays the original owner an income

A common notion is that Canadians will need 70% of their income at retirement. This figure is a rule of thumb. Some clients might need less; others might need more, depending on their expected retirement lifestyle. It is recommended that individuals save 10% to 20% of their pre-tax income during their working years. However, recent studies indicate that the level of Canadian savings is approximatey 7%.

HOUSEHOLD DEBT LEVELS

Household debt is defined by Statistics Canada as mortgage debt on principal residences, vacation homes, and other real estate as well as consumer debt. Consumer debt refers to outstanding debt on credit cards, personal and home equity lines of credit, secured and unsecured loans from financial institutions, and unpaid bills such as rent and taxes. Debt levels continue to be an area of concern in Canada. Debt-to-income levels have remained steady in the past few years at approximately 180 of disposable income. An individual's inability to service debt can increase stress levels. Concerns arise when interest rates are poised to increase because the cost of servicing debt and bankruptcies tends to rise.

EDUCATION

Investor Economics reports that education is one of the more important ways that advisors will be able to distinguish themselves among their competitors as competition continues to grow in the financial services industry. Most clients in a recent survey[1] agreed that designations are an important way that industry professionals can demonstrate expertise and a key determining factor for clients deciding whether to work with a new advisor. Clients also shared the belief that multiple designations indicate a greater ability to provide a varied range of services.

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[1] Are You Ready for the Roaring Twenties? Advice Evolves with Client and Competition. (June 2023). Investor Economics

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CRYPTOCURRENCY

Cryptoassets have been gaining in popularity around the world. Cryptoassets are assets that exist only in digital form and use cryptography to prevent counterfeiting and fraudulent transactions. They rely on peer-to-peer networking and a public ledger to regulate the creation and transfer of assets without the use of an intermediary. One of the more popular examples of a cryptoasset is bitcoin.

BITCOIN

Bitcoin is the asset that gave birth to the adoption of many other cryptocurrencies. It was created largely as an alternative payment system that would operate outside of central banking control. It was launched in 2008 when confidence in financial markets was very low, and its continued (albeit volatile) rising long-term price trend has been supported by continued debasement of fiat currencies.

Bitcoin is based on the decentralized, open-source protocol of the peer-to-peer Bitcoin computer network. The network creates a decentralized public transaction ledger, called the blockchain, on which all Bitcoin transactions are recorded. Movement of bitcoin is facilitated by a digital, transparent, and immutable ledger that enables the rapid transfer of value across the internet, without the need for centralized intermediaries.

The Bitcoin concept can be separated into two components:

Bitcoin the token	Bitcoin the token is a piece of code that represents ownership of a digital concept (a bitcoin) with financial value. Investors may invest in and own the bitcoin, either directly or indirectly, through an investment vehicle.
Bitcoin the protocol	Bitcoin the protocol is the distributed network, or blockchain, that maintains the ledger of balances of bitcoin the token.

Both concepts are referred to as "bitcoin", although, typically, Bitcoin with a capital B represents the protocol layer (the Bitcoin blockchain), and bitcoin with a small b refers to the bitcoin as financial value. Each bitcoin is a computer file stored in a digital wallet on a computer or smartphone. The bitcoin trading symbol is BTC or, less commonly, XBT.

Typically, bitcoin investors' interest lies only in what they own, no different from their interest in ownership of a share in a company. As a medium of exchange, store of value, and investment, bitcoin's growth in popularity has gone through different stages, starting with its early adoption by cypher-punks and gamers through to the more recent phase of institutional acceptance. Today there are numerous ways by which retail investors, wealth managers, institutional investors, and treasuries can invest in bitcoin, including through crypto-exchanges and investment products such as a closed-end mutual fund or ETF.

The infrastructure behind bitcoin and the method by which transactions are processed and validated (the blockchain) should also be of interest because it is this infrastructure that is critical to the integrity of a bitcoin purchase.

To understand how bitcoin works, it helps to understand the two terms: *blockchain* and *private and public keys*.

Blockchain	Bitcoin is powered by open-source code, known as the blockchain, which creates a shared public ledger. The ledger is available to record and validate the transactions that have taken place in the past, which cannot be altered. Each transaction is a "block" that is "chained" to the code, creating a permanent record of the transaction. Blockchain technology is at the heart of more than 4,000 cryptocurrencies that have followed in Bitcoin's wake.

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Private and public keys	A bitcoin wallet contains a public key and a private key, which work together to allow the owner to initiate and digitally sign transactions. The private key is essentially the bitcoin owner's secret password. Both keys provide proof of authorization and, ultimately, the authorization to proceed with transactions (which are also irreversible).

Bitcoin was programmed to maintain its value as a deflationary currency by limiting the number of total bitcoins in existence. The Bitcoin network software has pre-programmed the creation of new coins through the mining reward process and a well-thought-out economic model that decreases the availability of new coins. Availability will end when the 21 million bitcoin limit has been reached. Currently, there are around 19.8 million bitcoins in circulation.

Bitcoin's limited supply and various demand factors mentioned earlier (medium of exchange, store of value, and investment), have resulted in tremendous price appreciation and market capitalization. As of January, 2025, the total value of all bitcoins in circulation was around US$2.01 trillion.

The interest in crypto currency continues to grow. Please note, however, that the Canadian Securities Administrators caution Canadians that crypto assets are not the same as fiat currency such as the Canadian dollar or U.S. dollar.

CASE SCENARIO

Can you help your friend Marty by answering his questions about investment dealers? *Complete the online learning activity to assess your knowledge.*

KEY TERMS & DEFINITIONS

Can you read some definitions and identify the key terms from this chapter that match? *Complete the online learning activity to assess your knowledge.*

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SUMMARY

In this chapter, we discussed the following key aspects of the Canadian Securities Industry:

- Canadian capital markets are among the most sophisticated and efficient in the world, as indicated by the variety and size of new issues brought to the markets and the depth and liquidity of secondary market trading.
- The three categories of investment dealer firms are integrated, institutional, and retail. Integrated firms offer products and services that cover all aspects of the industry. Institutional firms primarily handle the trading activity of large clients such as pension funds and mutual funds. At the retail level, full-service firms offer a wide variety of products and services, and self-directed brokers offer reduced trading rates but do not provide advice.
- One main role of investment dealers is to bring new issues of securities to the primary markets. They also facilitate trading in the secondary markets. These firms can act as principals or agents in either market.
- The Canadian chartered banks are the largest financial intermediaries in the country. They are designated as Schedule I, Schedule II, or Schedule III banks. Each designation has different rules and regulations regarding ownership levels and the types of services they are allowed to offer.
- Financial intermediaries offer a broad range of financial services that, in many cases, overlap with the services provided by chartered banks. Services include deposit-taking and lending, debit and credit cards, mortgages, and mutual funds.
- Investment funds sell their shares to the public, most often in the form of closed-end or open-end funds, and invest the proceeds in diverse portfolios of securities. Loan companies make direct cash loans to consumers, who typically repay principal and interest in instalments. Pension plans represent a type of institutionalized savings. These plans are offered to the employees of many companies, institutions, and other organizations.
- In contrast to the execution-only model of self-directed brokerage, a new online investment service that provides investors with advice, popularly known as robo-advisors, has emerged in Canada. Robo-advisors offer goal-based online investment management, portfolios created using algorithms based on modern portfolio theory, and advisor support among other services.
- Bitcoin is slowly making its way into the traditional investing world. Its value is derived from both its use as a medium of exchange and as a store of value. Bitcoin investment or trading vehicles include trusts, mutual funds, hedge funds, futures, and options.

REVIEW QUESTIONS

Now that you have completed this chapter, you should be ready to answer the Chapter 1 Review Questions.

FREQUENTLY ASKED QUESTIONS

If you have any questions about this chapter, you may find answers in the online Chapter 1 FAQs.

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